adviser compensation as separate line items without prescribing particular categories of fees is appropriate because this requirement will encompass the various and evolving forms of adviser compensation across the private funds industry.

In addition to compensation paid to the adviser, the rule requires the fund table to include disclosure of compensation, fees, and other amounts allocated or paid to the adviser's "related persons." We are defining "related persons" to include: (i) all officers, partners, or directors (or any person performing similar functions) of the adviser; (ii) all persons directly or indirectly controlling or controlled by the adviser; (iii) all current employees (other than employees performing only clerical, administrative, support or similar functions) of the adviser; and (iv) any person under common control with the adviser.[235] The term "control" is defined to mean the power, directly or indirectly, to direct the management or policies of a person, whether through ownership of securities, by contract, or otherwise.[236] We are adopting both definitions as proposed.

Many advisers conduct a single advisory business through multiple separate legal entities and provide advisory services to a private fund through different affiliated entities or personnel.

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[235] Final rule 211(h)(1)-1. Form ADV uses the same definition. The regulations at 17 CFR 275.206(4)-2 (rule 206(4)-2) use a similar definition by defining related person to include any person, directly or indirectly, controlling or controlled by the adviser, and any person that is under common control with the adviser.

[236] Final rule 211(h)(1)-1. The definition, in addition, provides that: (i) each of an investment adviser's officers, partners, or directors exercising executive responsibility (or persons having similar status or functions) is presumed to control the investment adviser; (ii) a person is presumed to control a corporation if the person: (A) directly or indirectly has the right to vote 25% or more of a class of the corporation's voting securities; or (B) has the power to sell or direct the sale of 25% or more of a class of the corporation's voting securities; (iii) a person is presumed to control a partnership if the person has the right to receive upon dissolution, or has contributed, 25% or more of the capital of the partnership; (iv) a person is presumed to control a limited liability company if the person: (A) directly or indirectly has the right to vote 25% or more of a class of the interests of the limited liability company; (B) has the right to receive upon dissolution, or has contributed, 25% or more of the capital of the limited liability company; or (C) is an elected manager of the limited liability company; or (v) a person is presumed to control a trust if the person is a trustee or managing agent of the trust. Form ADV uses the same definition.

The "related person" and "control" definitions are designed to capture the various entities and personnel that an adviser may use to provide advisory services to, and receive compensation from, private fund clients. Some commenters supported broadening the "related person" and "control" definitions to include, for example, unaffiliated service providers that provide payments to an adviser or over which an adviser has economic influence, former personnel and family members, operational partners, senior advisors, or similar consultants of an adviser, a private fund, or its portfolio investments, and/or any recipient of fund management fees or performance-based compensation.[237] Other commenters supported adopting definitions that are consistent with advisers' existing reporting obligations,[238] with one commenter suggesting that adopting different definitions could capture irrelevant persons or entities and create unnecessary confusion.[239] We are adopting definitions that are consistent with the definitions of "related person" and "control" used on Form ADV and Form PF, which advisers already have experience assessing as part of their disclosure obligations on those forms, and which capture the entities and personnel that advisers typically use to conduct a single advisory business and provide advisory services to a private fund.

One commenter suggested that the rule's reference to "sub-advisory fees" in the non-exhaustive list of compensation types covered by the adviser compensation disclosure requirement is inappropriate, because sub-advisory fees are generally not paid to the sub-adviser by a private fund and instead are often paid out of the management fee or other adviser

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237 *See, e.g.*, Comment Letter of Convergence (Apr. 23, 2022) ("Convergence Comment Letter"); Comment Letter of XTP Implementation Services, Inc. (Apr. 25, 2022) ("XTP Comment Letter").

238 *See, e.g.*, AIMA/ACC Comment Letter; SBAI Comment Letter; SIFMA-AMG Comment Letter I.

239 *See* AIMA/ACC Comment Letter.

compensation received by the fund's primary adviser from the fund.[240] As proposed, the rule requires disclosure of any adviser compensation allocated or paid to the adviser or any of its related persons, including, without limitation, a related person that is a sub-adviser to the private fund, to the extent that the compensation to the related person is allocated or paid by the fund. Accordingly, the rule does not require sub-advisory fees allocated or paid to a related person solely by the fund's adviser (and not by the fund) to be disclosed as a separate item of adviser compensation. Another commenter suggested that the rule should require disclosure of sub-advisory fees to unrelated sub-advisers, in addition to related person sub-advisers.[241] Compensation to unrelated sub-advisers is required to be separately disclosed as a fund fee and expense under 17 CFR 211(h)(1)-2(b)(2) (final rule 211(h)(1)-2(b)(2)), to the extent that such payments are allocated to or paid by the fund.

Substantially as proposed, we are defining "performance-based compensation" as allocations, payments, or distributions of capital based on a private fund's (or its investments') capital gains, capital appreciation, and/or profit.[242] Commenters generally did not provide comments with respect to the proposed definition of "performance-based compensation." We are, however, making two non-substantive, technical changes to this definition. First, we are

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240 *See id*. This commenter also stated that disclosing sub-adviser fees separately could disincentivize sub-advisers from offering discounted or reduced fees to private funds. The final rule will not require separate disclosure of sub-adviser fees to the extent such fees are not paid by the fund, as discussed below. Nevertheless, this comment could also be understood to apply to any disclosure of sub-adviser compensation, including the disclosure of sub-adviser fees that are paid or allocated to the sub-adviser by the fund, which, as discussed below, will be required disclosure under the final rule. In this regard, although sub-adviser compensation, similar to any other adviser compensation, may be subject to upward or downward fee pressures as a result of the disclosure of compensation information, we believe that increased transparency and comparability with respect to the sub-adviser (and other adviser) compensation borne by a private fund is essential to generally enable private fund investors to make more informed investment decisions, and that this information could also lead to increased competitive market pressures on the costs of investing in private funds.

241 *See* NASAA Comment Letter.

242 Final rule 211(h)(1)-1.

revising the definition to include not only capital gains and capital appreciation but also profit. This change will capture performance-based compensation that may be calculated based on other types or measures of investment performance, such as investment income. Second, the parenthetical in the definition now references "or any of its investments" rather than "or its portfolio investments," because the value of the fund's investment (*i.e.*, the value of the fund's interest in a portfolio investment entity or issuer) will typically determine whether the adviser is entitled to performance-based compensation, rather than the value of the portfolio investment entity or issuer itself. The broad scope of this definition, which captures, without limitation, carried interest, incentive fees, incentive allocations, or profit allocations, among other forms of compensation, is appropriate in light of the various and evolving forms of performance-based compensation received by private fund advisers. This definition also covers both cash and non-cash compensation, including, for example, allocations, payments, or distributions of performance-based compensation that are in-kind.

Fund Fees and Expenses. The rule requires the table to show a detailed accounting of all fees and expenses allocated to or paid by the private fund during the reporting period, other than those disclosed as adviser compensation, with separate line items for each category of fee or expense reflecting the total dollar amount, substantially as proposed.[243] In a change from the proposal, we are revising this requirement to capture not only amounts "paid by" the private fund but also fees and expenses "allocated to" the private fund during the reporting period.[244] This clarification is necessary to avoid potentially misleading investors in light of the various ways that a private fund may be caused to bear fees and expenses. Additionally, this change is

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[243] Final rule 211(h)(1)-2(b)(2).

[244] *Cf.* CFA Comment Letter II (noting that proposed rule 211(h)(1)-2(b)(2) could be read to "not capture fees and expenses that have been accrued and not yet paid").

consistent with the requirement in rule 211(h)(1)-2(b)(1), as proposed and adopted, to disclose compensation *allocated* or paid to the adviser or any of its related persons by the private fund during the reporting period.

Similar to the approach taken with respect to adviser compensation discussed above, the rule captures all fund fees and expenses allocated to or paid by the fund during the reporting period, including, but not limited to, organizational, accounting, legal, administration, audit, tax, due diligence, and travel expenses. The rule's capturing of all, rather than limited categories of, fund fees and expenses is appropriate because this requirement will encompass the various and evolving forms of private fund fees and expenses. Advisers must list each category of expense as a separate line item under the rule, rather than group fund expenses into broad categories that obfuscate the nature and/or extent of the fees and expenses borne by the fund. For example, if a fund paid insurance premiums, administrator expenses, and audit fees during the reporting period, a general reference to "fund expenses" on the quarterly statement will not satisfy the rule's detailed accounting requirement. Instead, an adviser is required to separately list each category of expense (*i.e.*, in the example above, insurance premiums, administrator expenses, and audit fees) and the corresponding total dollar amount.

A number of commenters generally supported this requirement to report all fees and expenses paid by the private fund during the reporting period on the quarterly statements.[245] Some commenters suggested that this requirement would be too costly or that existing market practices make this requirement unnecessary.[246]

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245 *See, e.g.*, OFT Comment Letter; Comment Letter of Meketa Investment Group (Mar. 21, 2022) ("Meketa Comment Letter"); Comment Letter of the Teacher Retirement System of Texas (Apr. 25, 2022) ("TRS Comment Letter").

246 *See, e.g.*, AIC Comment Letter I; Dechert Comment Letter; ATR Comment Letter.

We have observed two general trends among private fund advisers that support the rule's approach to adviser disclosure of fund fees and expenses. First, we have observed certain advisers shift certain expenses related to their advisory business to private fund clients.[247] For example, some advisers charge private fund clients for salaries and benefits related to personnel of the adviser. Such expenses have traditionally been paid by advisers with their management fee proceeds or other revenue streams but are increasingly being charged as separate fund expenses, in addition to the management fee, and the full nature and extent of these expenses may not be clearly disclosed and transparent to fund investors.[248] Second, expenses have risen significantly in recent years for certain private funds due to, among other things, advisers' use of increasingly complex fund structures, the expansion of global marketing and investment efforts by advisers, and increased service provider costs.[249] Advisers often pass on such increases to the private funds they advise without providing investors detailed disclosure about the magnitude and type of expenses actually charged to, or directly or indirectly borne by, the fund. Without this information, however, investors are less able to effectively assess and monitor the costs of investing in private funds managed by an adviser.

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247 *See supra* footnote 219 and accompanying text.

248 *See* Key Findings ILPA Industry Intelligence Report, "What is Market in Fund Terms?" (2021), at 18-19 ("ILPA Key Findings Report"), *available at* https://ilpa.org/wp-content/uploads/2021/10/Key-Findings-Industry-Intelligence-Report-Fund-Terms.pdf (stating that "the importance of elevated transparency for [private fund investors] related to fees and expenses" is underscored by the recent trend of "cost shifting" certain expenses traditionally borne by private fund advisers to their private fund clients).

249 *See, e.g.*, *id.*; *see also* Coming to Terms: Private Equity Investors Face Rising Costs, Extra Fees, Wall Street Journal (Dec. 20, 2021), *available at* https://www.wsj.com/articles/coming-to-terms-private-equity-investors-face-rising-costs-extra-fees-11640001604.

Some commenters stated that we should allow advisers to group smaller expenses generally into broad categories or disclose them as "miscellaneous" expenses.[250] Other commenters requested that we allow exemptions for *de minimis* amounts in the fee and expense section of the quarterly statement.[251] In contrast, one commenter suggested that we specifically not permit advisers to exclude *de minimis* expenses or group small expenses into broad categories.[252] We are not allowing advisers to exclude *de minimis* expenses, generally group small expenses into broad categories, or label expenses as miscellaneous. Private fund investors need detailed accounting of fees and expenses to understand fully the costs of their private fund investments. If we were to allow advisers to group small expenses generally into broad categories, they might be able to obscure certain costs from investors, including those that could raise conflict of interest issues. Similarly, advisers might use a *de minimis* exception to avoid disclosing individual expenses that, in aggregate, could be significant. These alternative approaches would not provide private fund investors with sufficient detail to assess and monitor whether that the private fund expenses borne by the fund conform to contractual agreements and the private fund's terms.

As discussed above,[253] some commenters suggested that section 211(h)(1) of the Act, which states that the Commission shall facilitate the provision of simple and clear disclosures to investors regarding the terms of their relationships with investment advisers, does not authorize the rule's quarterly disclosure requirement with respect to fund fees and expenses. These

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250 *See, e.g.*, AIC Comment Letter II; Comment Letter of CFA Institute (Apr. 25, 2022) ("CFA Comment Letter I"); IAA Comment Letter II.

251 *See, e.g.*, AIC Comment Letter I; PIFF Comment Letter; Ropes & Gray Comment Letter.

252 *See* Convergence Comment Letter.

253 *See supra* footnotes 166-169 and accompanying text.

commenters generally asserted that ongoing fund fee and expense reporting does not constitute disclosure of the terms of the relationship between private fund investors and private fund advisers for purposes of section 211(h)(1) of the Act and that such terms are instead disclosed only at the outset of the relationship between a private fund investor and a private fund adviser; namely, in the terms set forth in a private fund's contractual documents.[254] Although we recognize that the methodology for calculating fund fees and expenses is typically set forth in a fund's contractual documents, as discussed above, investors must also receive simple and clear disclosures of the actual fees and expenses borne by their fund in order to be able to understand and confirm effectively the accuracy of the terms of their relationship with a private fund adviser.

To the extent that a fund expense also could be characterized as adviser compensation under the rule, the rule requires advisers to disclose such payment or allocation as adviser compensation as opposed to a fund expense in the quarterly statement. For example, certain private funds may engage the adviser or its related persons to provide non-advisory services to the fund, such as consulting, legal, or back-office services. The rule requires advisers to disclose any compensation, fees, or other amounts allocated or paid by the fund for such services, whether advisory or non-advisory, as part of the detailed accounting of adviser compensation. This approach will help ensure that investors understand the entire amount of adviser compensation allocated or paid to the adviser and its related persons during the reporting period by the fund.

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[254] *See, e.g.*, AIC Comment Letter I; NVCA Comment Letter; Citadel Comment Letter.

Offsets, Rebates, and Waivers. We are requiring advisers to disclose adviser compensation and fund expenses in the fund table both before and after the application of any offsets, rebates, or waivers.[255] Specifically, the rule requires an adviser to present the dollar amount of each category of adviser compensation or fund expense[256] before and after any such reduction for the reporting period.[257] In addition, the rule requires advisers to disclose the amount of any offsets or rebates carried forward during the reporting period to subsequent periods to reduce future adviser compensation.[258] We are adopting this portion of the rule as proposed.

Advisers may offset, rebate, or waive adviser compensation or fund expenses in a number of circumstances. For example, a private equity adviser may enter into a management services agreement with a fund's portfolio company, requiring the company to pay the adviser a fee for those services. To the extent that the fund's governing agreement requires the adviser to share the fee with the fund investors through an offset to the management fee, the management fee would typically be reduced, on a dollar-for-dollar basis, by an amount equal to the fee.[259] Under the final rule, the adviser would be required to list the management fee both before and after the application of the fee offset.

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255 Final rule 211(h)(1)-2(b).

256 For example, an adviser must show any placement agent fees or excess organizational expenses before and after any management fee offset.

257 Offsets, rebates, and waivers applicable to certain, but not all, investors through one or more separate arrangements are required to be reflected and described prominently in the fund-wide numbers presented in the quarterly statement. *See* final rule 211(h)(1)-2(d) and (g). Advisers are not required to disclose the identity of the subset of investors that receive such offsets, rebates, or waivers.

258 Final rule 211(h)(1)-2(b)(3).

259 The offset shifts some or all of the economic benefit of the fee from the adviser to the private fund investors.

Some commenters generally supported the requirement that advisers disclose adviser compensation and fund expenses both before and after the application of any offsets, rebates, or waivers.[260] Some commenters suggested that advisers should only be required to disclose adviser compensation and fund expenses after the application of any offsets, rebates, or waivers, because information regarding adviser compensation and fund expenses before the application of any offsets, rebates, or waivers does not reflect actual investor experience and accordingly could confuse or be of little or no value to investors.[261] One commenter stated that we should consider excepting *de minimis* offsets, rebates, or waivers from this requirement.[262]

We considered whether to require advisers to disclose adviser compensation and fund expenses only after the application of offsets, rebates, and waivers, rather than before and after. We recognize that investors may find the reduced numbers more meaningful, given that they generally reflect the actual amounts borne by the fund during the reporting period. However, after considering comments, we believe that presenting both figures will provide investors with greater transparency into advisers' fee and expense practices, particularly with respect to how offsets, rebates, and waivers affect adviser compensation. Transparency into fee and expense practices is important, even with respect to *de minimis* amounts, because it will assist investors in monitoring their private fund investments and, for certain investors, will ease their own efforts at complying with their reporting obligations.[263] Advisers should have this information readily

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260 *See, e.g.*, Morningstar Comment Letter; CFA Comment Letter II; RFG Comment Letter II.

261 *See, e.g.*, IAA Comment Letter II; PIFF Comment Letter.

262 *See* Ropes & Gray Comment Letter.

263 For example, certain investors, such as U.S. State pension plans, may be required to report complete information regarding fees and expenses paid to the adviser and its related persons. *See* LACERA Comment Letter.